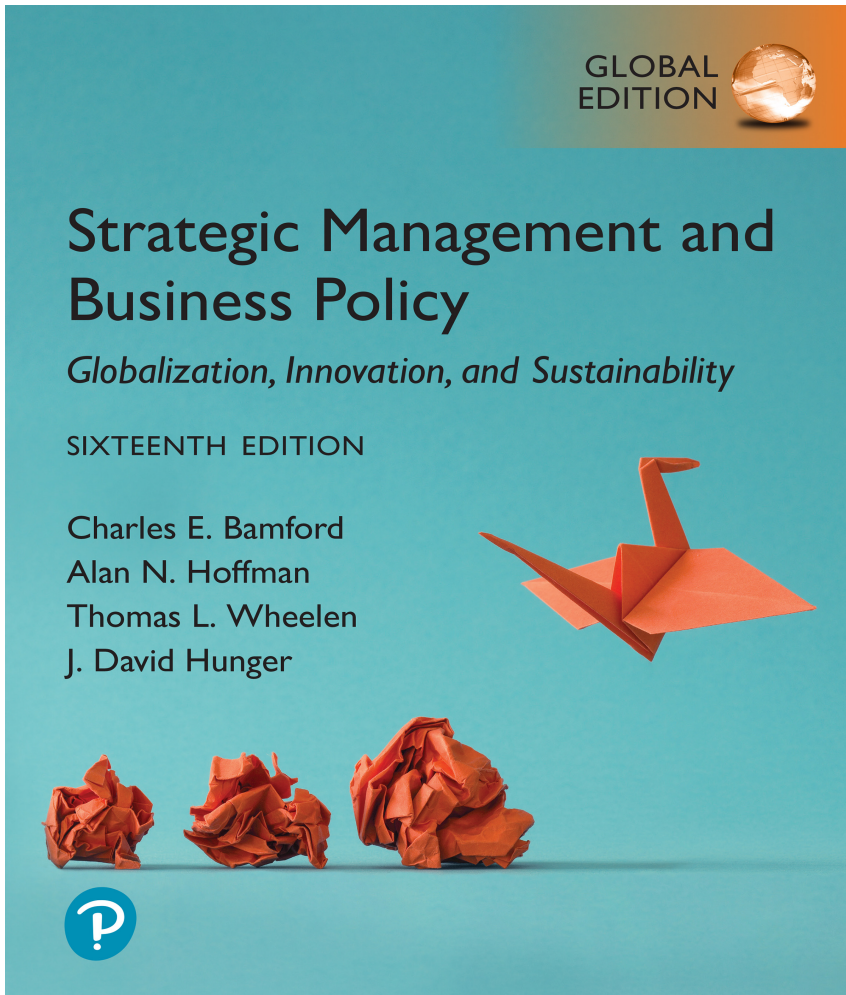


Strategic Management and Business Policy: Globalization, Innovation and Sustainability

Sixteenth Edition, Global Edition



Chapter 9

Strategy
Implementation: Global
Strategy

Learning Objectives (1 of 2)

9.1 Describe the means of entry by which an organization can do business in another country

9.2 Explain the elements of International Strategic Alliances that lead to success

9.3 Discuss the stages of International Development

Learning Objectives (2 of 2)

9.4 Explain how companies can improve their staffing efforts as they expand beyond their home country

9.5 Discuss the unique issues related to Measuring Organizational performance that are presented with the administration of a truly international company

Global Strategy

- **Global strategy**
 - sum total of the activities that an organization takes in order to compete in markets outside its home country

International Entry (1 of 9)

- **Exporting**

- shipping goods produced in the company's home country to other countries for marketing
- exporting is popular for small businesses because of the Internet and rapid advance of overnight express services, which has reduced the once-formidable costs of exporting

International Entry (2 of 9)

- **Licensing**

- licensing firm grants rights to another firm in the host country to produce and/or sell a product
- licensee pays compensation to the licensing firm in return for technical and sometimes marketing expertise

International Entry (3 of 9)

- **Franchising**

- the franchiser grants rights to another company to open a retail store using the franchiser's name and operating system
- in exchange, the franchisee pays the franchiser a percentage of its sales as a royalty

International Entry (4 of 9)

- **Joint venture**
 - association between a company and a firm in the host country or a government agency in that country
 - quick method of obtaining local management
 - reduces the risks of expropriation and harassment by host country officials

International Entry (5 of 9)

- **Acquisition**
 - purchasing another company already operating in that area
- **Green-field development**
 - company may build its own manufacturing plant and distribution system

International Entry (6 of 9)

- **Production sharing**
 - process of combining the higher labor skills and technology available in developed countries with the lower-cost labor available in developing countries
 - often called outsourcing

International Entry (7 of 9)

- **Turnkey operations**
 - typically contracts for the construction of operating facilities in exchange for a fee
 - facilities are transferred to the host country or firm when they are complete

International Entry (8 of 9)

- **Build, operate, transfer (BOT) concept**
 - instead of turning facility over to host country when completed, company operates facility for fixed time during which it earns back its investment, plus a profit
 - then turns the facility over to the government at little or no cost to the host country
 - variation of the turnkey operation

International Entry (9 of 9)

- **Management contracts**
 - means through which a corporation can use some of its personnel to assist a firm in a host country for a specified fee and time
 - allows firm to continue to earn some income from its investment and keep the operations going until local management is trained

International Coordination

- **Multinational corporation (MNC)**
 - highly developed international company with deep involvement throughout world, plus a worldwide perspective in its management and decision making

International Strategic Alliances (1 of 2)

- Key drivers for strategic fit between alliance partners
 - Partners must agree on fundamental values and have a shared vision about the potential for joint value creation.
 - Alliance strategy must be derived from business, corporate, and functional strategy.
 - The alliance must be important to both partners, especially to top management.
 - Partners must be mutually dependent for achieving clear and realistic objectives.

International Strategic Alliances (2 of 2)

- Key drivers for strategic fit between alliance partners
 - Joint activities must have added value for customers and the partners.
 - The alliance must be accepted by key stakeholders.
 - Partners contribute key strengths but protect core competencies.

Stages of International Development (1 of 5)

- **Stage 1 (Domestic company)**
 - Primarily domestic company exports some of its products through local dealers and distributors in the foreign countries

Stages of International Development (2 of 5)

- **Stage 2 (Domestic company with export division)**
 - Success in Stage 1 leads company to establish own sales company with offices in other countries to eliminate the middlemen and better control marketing

Stages of International Development (3 of 5)

- **Stage 3 (Primarily domestic company with international division)**
 - Success in earlier stages leads company to establish manufacturing facilities in addition to sales and service offices in key countries.

Stages of International Development (4 of 5)

- **Stage 4 (Multinational corporation with multidomestic emphasis)**
 - company establishes local operating division or company in host country, to better serve the market
 - product line is expanded, and local manufacturing capacity is established
 - managerial functions organized locally

Stages of International Development (5 of 5)

- **Stage 5 (Multinational corporation with global emphasis):**
 - has worldwide human resources, R&D, and financing strategies
 - denationalizes operations and plans product design, manufacturing, and marketing around worldwide considerations

International Employment (1 of 3)

- Nearly 80% of midsize and larger companies send some of their employees abroad.
- Between 20% and 45% of expatriate assignments are failures with managers sent abroad returning early because of job dissatisfaction or difficulties in adjusting to a foreign country.

International Employment (2 of 3)

- To improve organizational learning, many MNCs are providing their managers with international assignments lasting as long as five years.
- Upon their return to headquarters, these expatriates have an in-depth understanding of the company's operations in another part of the world.

International Employment (3 of 3)

Recommendations to improve the expat process are:

- Have a compelling reason for sending a current employee to a new country.
- Choose individuals who are open to the assignment and committed to adapt to the new environment.
- Assign sponsors/mentors in both the home country and the new country.
- Develop a means of maintaining very open, frequent communication throughout the assignment.
- Design a plan for repatriation.
- Craft an approach for sharing the experiences and lessons learned within the company.

Measurement of Performance

- The three most widely used techniques for international performance evaluation are ROI, budget analysis, and historical comparisons.
- ROI can cause problems when it is applied to international operations.
- Because of foreign currencies, different accounting systems, different rates of inflation, different tax laws, and the use of transfer pricing, both the net income figure and the investment base may be seriously distorted.

Measurement of Performance

- A **global MNC** needs tight controls over its many units.
- To reduce costs and gain competitive advantage, it is trying to spread the manufacturing and marketing operations of a few fairly uniform products around the world.
- Its key operational decisions must be centralized.

Q & A